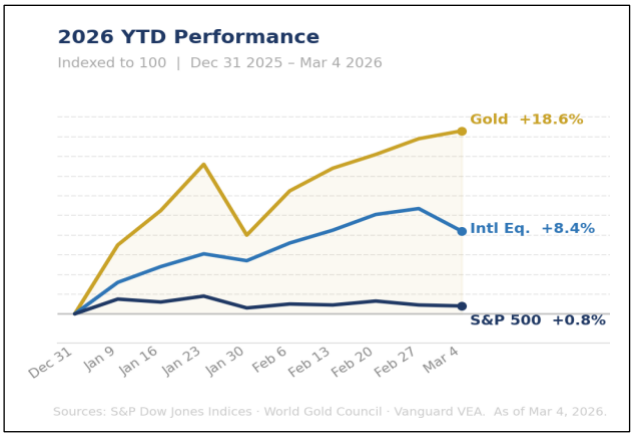
Overview

Compared to the consensus-driven optimism of recent years, global markets will be navigating a more complicated environment in 2026. A new degree of geopolitical uncertainty brought about by the ongoing conflict between the United States and Iran has reshaped energy markets, put pressure on supply chains, and demanded a risk premium that hasn't existed since 2022. In addition, the race to power, connect, and to scale artificial intelligence, one of the biggest infrastructure buildouts in modern history, is simultaneously shaping markets.



The year ahead is characterized by three macro forces: an unresolved geopolitical tension in the Middle East, an accelerating AI infrastructure cycle, and a Federal Reserve that must walk a tightrope between stubborn inflation and slowing economic growth. These are structural changes that are starting to change asset pricing in equities, commodities, and emerging markets. The best investors to seize some of the most compelling opportunities of the upcoming ten years will be those who understand where these forces align.

Equities

After a resilient 2025 in which the S&P 500 gained more than 16% and set 39 new all-time highs, U.S. equities enter 2026 with strong momentum. Although high valuations leave little opportunity for disappointment, consensus estimates place S&P 500 earnings at about $305 per share in 2026, up from about $275 in 2025. Expanding market leadership beyond mega-cap technology into small and mid-cap stocks, value sectors, and a few international markets are the main themes for the upcoming year.

Industrials — Bullish

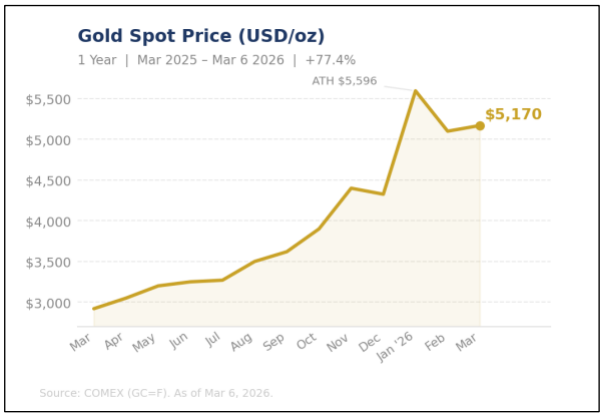
With sustained infrastructure investment, rising defense spending, and the reshoring of manufacturing supply chains, the industrial sector is in a strong position going into 2026. While government-backed capital programs support the demand for industrial equipment and transportation assets, AI-driven automation and robotics are boosting productivity throughout the industry. As supply chains stabilize, revenue growth is anticipated to be consistent with increasing operating leverage.

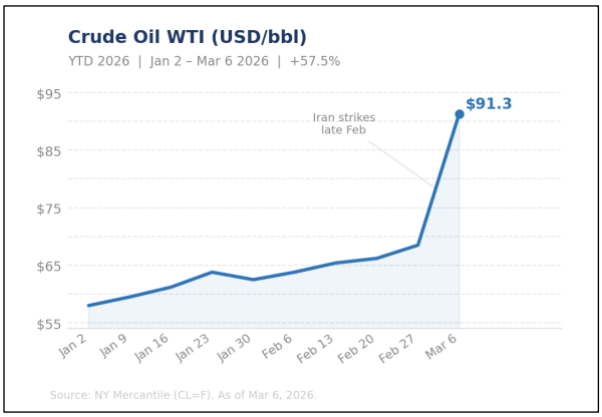
Utilities — Bullish

A major increase in long-term electricity demand is being driven by the expansion of data centers, making utilities a structural beneficiary of the AI infrastructure buildout. The industry is well-positioned for the quickening electrification of industry and transportation because it keeps making significant investments in battery storage, renewable energy, and grid modernization. Utilities, which have historically been defensive, might produce stronger growth dynamics over the next ten years than would be predicted by historical averages.

Commodities

Before the Iran conflict completely altered the situation, commodities were one of the most polarized asset classes in recent memory going into 2026, with gold continuing a historic bull run and crude oil facing ongoing oversupply headwinds. The outlook for the energy market has changed because of the U.S.-Israel strikes on Iran in late February, which essentially stopped traffic in the Strait of Hormuz. Commodities in 2026 will require investors to take a cautious approach, as energy exposure carries significant geopolitical risk in both directions and precious and strategic metals continue to make a strong structural case.





Gold — Bullish

Gold enters 2026 with strong macro support due to ongoing geopolitical tension, inflation uncertainty, and continued demand from central banks. As geopolitical risk increases and global trade ties weaken, investors are turning to gold preserve value. Simultaneously, central banks have been steadily adding to their gold reserves as part of a larger plan to reduce their exposure to the U.S. dollar. There are still risks of inflation and uncertainty in the global monetary system, which creates an environment adequate for gold prices. Gold remains a secure way to protect against both geopolitical shocks and unexpected inflation.

Copper — Bullish

Copper starts 2026 with a bullish fundamental backdrop as supply problems make the market tighter and structural demand picks up speed. Indonesia's Grasberg mine and Chile's Quebrada Blanca have both had production problems, which has limited supply. At the same time, AI infrastructure, grid expansion, and the energy transition are all driving up demand.

Crude Oil — Bullish

The U.S. and Israel's attacks on Iran have halted traffic in the Strait of Hormuz, which is dangerous for 20% of the world's oil supply and substantial LNG and jet fuel that goes to Asian and European markets. Brent crude is currently trading at $91 per barrel. If shipping-related flows are completely blocked, the price could surge to $120. The length of the conflict is still the most important factor. If it goes on for an extended period, it will add to the stagflation risks that are already hurting the world economy.

Fixed Income

The Federal Reserve's fed funds rate is between 3.50% and 3.75% as of March 2026. It has been cut by a total of 175 basis points since September 2024, with a break in January. Right now, the markets are almost sure that the Fed will hold off at the March meeting. The first cut of 2026 isn't expected until June, and the Fed's dot plot shows that there will only be one cut for the whole year. This is because inflation is still above the 2% target and there is still uncertainty about who will be the next Fed Chair. For bond investors, the outlook is good but cautious. The main theme is that the yield curve is getting steeper as short-term rates fall and long-term yields stay stable because the Treasury is issuing more bonds and inflation is high.

Emerging Markets

Brazil

Brazil is one of the most promising emerging markets for 2026 because it has a low price-to-earnings ratio of 7.5x and the Selic rate is close to a two-decade high of 15%. COPOM has said that an easing cycle will start in March, and most people think that rates will drop by about 275 basis points by the end of the year. About 60% of corporate debt is directly tied to the Selic, so rate cuts almost immediately show up in earnings. This lowers the risk premium on a market that is already very undervalued. The presidential election in October 2026 is another possible trigger, and many people think that a pro-market outcome would lead to a significant re-rating.



Risks

Stagflation is the biggest macro risk as we head into March 2026. U.S. core inflation is still stubbornly above the Fed's 2% target, and the Tax Foundation says that the sweeping tariff regime introduced under Section 122 is the biggest U.S. tax increase as a share of GDP since 1993. This is putting pressure on consumer prices and making it harder for businesses to invest. The February nonfarm payroll report made those worries worse. The BLS said there were 92,000 fewer jobs than expected, the unemployment rate went up to 4.4%, and Indeed's Hiring Lab said the economy had basically no net job creation over the previous six months. The upcoming change in leadership at the Federal Reserve adds to the uncertainty. Kevin Warsh has been confirmed as Trump's choice to replace Jerome Powell in May 2026. Traders are already moving their expectations for rate cuts to July. Capital Economics warns that any politically motivated push to ease aggressively could hurt the credibility of efforts to fight inflation and raise long-term Treasury yields. Geopolitical risk is still the wild card. The ongoing conflict between the U.S. and Iran keeps Brent crude above $90, and the disruption in the Strait of Hormuz could cause a supply shock that would make the stagflation situation much worse.